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22-CIV-05378

TIMOTHY W. SILVA VS. GEORGE M. SILVA, JR., ET AL.

TIMOTHY W. SILVA  
GEORGE M. SILVA, JR.

DONALD J. DOWLING  
PRO/PER

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**STATEMENT OF DECISION**  
**TENTATIVE RULING:**

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This matter came before the Court for court trial on Plaintiff Timothy Silva's claim to quiet title to the real property commonly known as the Canyon property. Defendants George Silva and Karen Fagundes oppose Plaintiff's claim and contend that Plaintiff fraudulently acquired title to the property.

Having considered the testimony, admitted exhibits, prior pleadings, prior rulings, and arguments of the parties, the Court finds in favor of Plaintiff.

**BACKGROUND**

Plaintiff, George Silva, and Karen Fagundes are siblings. The Canyon property was originally held in connection with the parties' late mother and/or her trust. The siblings each held an equal beneficial or ownership interest in the property. George Silva and Karen Fagundes served as trustees or successor trustees in connection with the property.

Plaintiff testified that he acquired the siblings' interests by paying each sibling for his or her share. Plaintiff testified that each sibling received approximately \$47,000. Plaintiff contends that his acquisition of title was part of a buyout transaction and that Defendants' present adverse claims are unsupported by the record.

Defendants contend that Plaintiff acquired title through fraud. George Silva testified that he did not receive money for the property, did not know what was occurring at the title company, and that his signature was forged. Karen Fagundes testified that she could not remember receiving \$47,000, could not remember signing documents, and may have signed documents but did not know. To the extent Karen later denied receiving payment, the Court does not find that testimony sufficient to change the result for the reasons stated below.

**LEGAL STANDARD**

A quiet title action may be brought to establish title against adverse claims to real property or an interest in real property. (Code Civ. Proc., § 760.020.) The court must examine the evidence of Plaintiff's title and Defendants' adverse claims and render judgment according to the evidence and the law. (Code Civ. Proc., § 764.010.)

Plaintiff bears the burden of establishing his title. Defendants bear the burden of proving facts essential to their fraud, forgery, nonpayment, or invalidity theories. (Evid. Code, § 500.) In evaluating credibility, the Court may consider the witness's interest in the matter, motive, bias, prior inconsistent statements, ability to recollect, attitude toward the action, and the existence or nonexistence of facts testified to. (Evid. Code, § 780.)

A prior inconsistent statement may be considered under Evidence Code section 1235 when the statutory foundation is satisfied. Prior pleadings may also be considered as admissions, impeachment, or evidence bearing on credibility, knowledge, notice, and the consistency of a party's litigation position.

Claim preclusion applies when a prior final judgment on the merits involved the same parties or their privies and the same cause of action. (*DKN Holdings LLC v. Faerber* (2015) 61 Cal.4th 813, 824; *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 896.) Issue preclusion applies where an issue is identical to an issue actually litigated and necessarily decided in a prior proceeding, the prior decision is final and on the merits, and preclusion is asserted against a party to the prior proceeding or one in privity with that party. (*Lucido v. Superior Court* (1990) 51 Cal.3d 335, 341.)

### **WITNESS - CREDIBILITY FINDINGS**

The Court finds Plaintiff's evidence more credible and persuasive than Defendants' evidence.

George Silva's testimony was materially impeached. George testified at trial that he did not receive money, did not know what was happening at the title company, and that his signature was forged. However, in San Mateo County case No. CIV-517221, George previously alleged facts acknowledging an agreement concerning the Canyon property, acquisition of the siblings' interests, and distribution of escrow or loan proceeds to the siblings. Those prior allegations directly concern the same transaction Defendants now characterize as unknown, forged, or fraudulent.

The Court finds this inconsistency significant. George's prior allegations are inconsistent with his present claim that he had no knowledge of the transfer transaction and received no benefit from it. The inconsistency is material because it goes to the central disputed issues: whether the siblings were paid, whether George knew about the title and escrow transaction, whether the transaction was part of an agreed buyout, and whether Plaintiff's title was obtained through fraud or forgery. The Court therefore gives George's trial testimony reduced weight.

Karen Fagundes' testimony does not establish fraud, forgery, or nonpayment. Karen initially testified that she could not remember receiving \$47,000, could not remember signing documents, and may have signed documents but did not know. Even if her testimony is construed as a denial of receipt of funds, the Court gives that testimony limited weight because it is inconsistent with the prior litigation record and unsupported by persuasive documentary evidence. Her testimony does not rebut Plaintiff's evidence of payment, title transfer, and prior litigation history.

### **DOCUMENTARY EVIDENCE**

The documentary evidence supports Plaintiff's position that the property transfer occurred through a formal title and escrow transaction. The settlement statement reflects a loan/settlement transaction involving Timothy Silva and the Canyon property. The trust transfer grant deed and related property documents further support the existence of formal title activity involving the property and the parties.

The Court does not find Defendants' exhibits sufficient to overcome Plaintiff's title evidence or to establish fraud. Some of Defendants' exhibits provide historical background and show that the parties have disputed the property for years. They do not persuasively establish that Plaintiff forged documents, concealed the transaction, or failed to pay the siblings.

### **PRIOR LITIGATION AND PRECLUSION**

The Court considers the history of prior lawsuits involving the Canyon property. The record shows that the parties previously litigated issues concerning the property, the alleged agreement, the payment structure, and ownership interests. Those matters have been resolved in Plaintiff's favor.

To the extent the prior actions resulted in final judgments involving the same parties or their privies and the same primary right, Plaintiff has established a basis for claim preclusion. To the extent particular issues were actually litigated and necessarily decided in those actions, Plaintiff has established a basis for issue preclusion. The Court does not rely on preclusion more broadly than the record permits.

Even apart from claim or issue preclusion, the prior litigation record is independently relevant to credibility, notice, knowledge, and impeachment. George's prior verified allegations in CIV517221 show that he previously advanced a version of events acknowledging an agreement, escrow or loan proceeds, and payment to siblings. That prior position is materially inconsistent with Defendants' present theory that Plaintiff secretly or fraudulently acquired title without knowledge or payment.

The Court also considers the prior ruling by Judge Buchwald. Although the precise preclusive effect of that ruling depends on the issues actually litigated and necessarily decided, the ruling substantially weakens Defendants' present attempt to relitigate the same fraud and title theories. At minimum, the prior ruling and prior filings are relevant to credibility and to whether Defendants' current testimony is consistent with their earlier litigation positions.

### **FINDINGS**

The Court finds that Plaintiff has established his title to the Canyon property by a preponderance of the evidence. Defendants have not met their burden to prove that Plaintiff obtained title through fraud, forgery, concealment, or nonpayment.

George Silva's prior lawsuit acknowledging the payment/disbursement structure materially undermines his present fraud theory. The prior pleading supports a finding that George knew about the transaction and that the transfer was not the unknown or fraudulent event he now describes.

Karen Fagundes' denial or lack of recollection does not change the result. Her testimony is outweighed by the prior litigation record, George Silva's prior inconsistent pleading in CIV517221, the prior ruling by Judge Buchwald, and the documentary evidence of the title and escrow transaction. Karen's testimony does not establish fraud, forgery, or nonpayment and does not defeat Plaintiff's quiet title claim.

### **DISPOSITION**

Judgment shall be entered in favor of Plaintiff Timothy Silva and against Defendants George Silva and Karen Fagundes on the quiet title claim. Defendants' adverse claims to the Canyon property are rejected.

This constitutes the tentative Statement of Decision which will become the final statement of decision unless, within 10 days after personal service, a party specifies those principal controverted issues as to which the party is requesting a statement of decision or makes proposals not included in the tentative decision pursuant to CRC 3.1590(c)(4). Plaintiff shall prepare a proposed judgment consistent with this Statement of Decision.

